25901832 **Reg.No : .....**

Name : .....

MAHATMA GANDHI UNIVERSITY, KOTTAYAM

MGU-BVOC (HONOURS) Regular EXAMINATION April 2026

Second Semester

Skill Development Components (SDC) - MG2SDCAAT100 - FINANCIAL ACCOUNTING

(2025 ADMISSION ONWARDS)

Duration: 2 Hours **Maximum Marks: 70**

Remember(K), Understand(U), Apply(A), Analyse(An), Evaluate(E), Create(C), Skill(S), Interest(I) and Appreciation(Ap)

Students should attempt at least one question from each course outcome to enhance their overall outcome attainability.

Part A

VERY SHORT ANSWER

Answer any **10** questions

Each question carries **2** marks

1. What do you mean by? [U] / [CO1, CO5]

    1. Shortage in Stock
    2. Surplus in Stock

2. Name the categories of Branches? [U] / [CO1]

3. What are interbranch transactions? [U] / [CO1, CO5]

4. What are the disadvantages of Branch Accounts? [U] / [CO1]

5. Give Journal entries in the books of Head Office. [A] / [CO1]

    1. For bringing down the balances of stock , furniture, petty cash at the beginning of the period
    2. For bringing down the liabilities at the beginning

6. Explain the importance of Branch Accounts. [U] / [CO1]

7. What is apportionment of expenses and apportionment of incomes? [U] / [CO2]

8. Explain the meaning and purpose of the Profit and Loss Appropriation Account. [U] / [CO3, CO5]

9. Give journal entries in connection with realisation of assets [A] / [CO3, CO5]

    1. For closing the accounts of all assets
    2. For transferring provisions

10. Define Partnership. State its features? [U] / [CO3]

11. Draw a proforma of Partner's Capital Account under Fluctuating Capital Method. [U] / [CO3]

12. Explain Level II Enterprise in accounting standrards. [U] / [CO4]

[2x10 = 20]

Part B

SHORT ESSAY

Answer any **5** questions

Each question carries **4** marks

13. Define invoice price. Prepare necessary journal entries in the books of Head Office under the Debtors System, when the branch receives goods at invoice price and records both for cash sales and credit sales. [A] / [CO1, CO5]

14. Pass the necessary journal entries of an Independent Branch in the books of the Branch for recording transactions related to H.O Account. [A] / [CO1, CO5]

15. On 1st Jan.2014 a Head Office opened a Branch at Madras to which goods are sent at cost where sales are made both for cash and credit. The following relate to the branch for the year 2014 [A] / [CO1, CO5]

Goods sent to branch		90,000
Cheque sent to branch for		
Rent	4,000	
Salary	4,000	
Office expenses	1,100	8,100
Cash sales		82,000
Credit sales		50,000
Cash received from debtors		42,000
Debtors at Branch on closing		9,000
Stock at Branch on closing		5,000

Prepare Madurai Branch Account for the year 2014

16. From the following prepare Trading Account of Department A and B of Karun Stores for the year ending 31st March 2017 [A] / [CO2, CO5]

Particulars	Dept. A	Dept. B
Opening stock	15,000	60,000
Sales	1,80,000	4,00,000
Purchases	1,50.000	2,50,000
Closing stock	30,000	75,000
Direct expenses	18,000	40,000

Carriage inwards (total) 40,000

17. A, B, C were partners sharing profits and losses equally. Their Balance sheet after the preparation of realisation account on dissolution of the firm was as follows: [A] / [CO3, CO5]

Liabilities	Amount	Assets	Amount
Capitals		Cash	8,000
A	12,000	C's Capital	6,000
B	8,000	Realisation	6,000
Total	20,000	Total	20,000

C is insolvent and his private estate pays only Rs. 5,000 of the amount due to the firm. Close capital accounts of partners by loss due to insolvency shall be share under capital ratio (Garner vs. Murray). Prepare Capital Accounts.

18. Dhanu Ltd. has three departments Dept. X, Dept. Y and Dept. Z. the following relate to the departments for the year 2017. [A] / [CO2, CO5]

Particulars	Dr.	Cr.
Opening stock	12,000	
Dept. X	16,000	
Dept. Y	10,000	
Dept. Z		
Purchases	36,000	
Dept. X	44,000	
Dept. Y	29,000	
Dept. Z		
Sales		
Dept. X		58,000
Dept. Y		74,000
Dept. Z		22,000

Carriage on purchases	
Dept. X	2,000
Dept. Y	3,000
Dept. Z	2,000

Carriage outwards (total) 9,000

Discount allowed 3,000

Closing stock of X, Y, Z were Rs.18,000, Rs.16,000 and Rs.17,000. During the year goods of cost of Rs. 4,000 were transferred from X to y and for Rs. 2,000 from Z to X. Wages of department Y includes service rendered for department X for Rs. 200. Prepare department Trading and Profit and Loss Account for the year ending 31st March 2017.

19. The following is the Balance sheet of Bright and Dull sharing profits and losses in the ratio 3:2 as on 31st December 2016: [A] / [CO3, CO5]

Liabilities	Amount	Assets	amount
Creditors	14,000	Cash at bank	2,000
Bank loan	8.000	Debtors 11,000	
Reserves	5,000	Less provision for bad debts 1,000	10,000
Capitals		Stock	15,000
Bright	18,000	Fixtures and fittings	12,000
Dull	12,000	Machinery	18,000
Total	57,000	Total	57,000

The firm is dissolves as on the date of Balance sheet. The assets realized as follows

Debtors	9,500
Stock	13,500
Fixtures and fittings	11,500
Machinery	30,000

Creditors were paid at a discount of 10%. The realisation expenses amounted to Rs. 1,600. There was a liability of Rs. 1300 on legal charges due and had to be paid. Prepare Realisation Account.

[4x5 = 20]

Part C

ESSAY

Answer any **2** questions

Each question carries **15** marks

20. What are the various accounts prepared by H.O under the Stock and Debtors System? [U] / [CO1, CO5]

21. Define Departmental Accounting. What are the objectives and advantages of Departmental Accounts? [U] / [CO2]

22. Explain the various types of dissolution. [U] / [CO3, CO5]

23. Briefly explain AS 1. [U] / [CO4]

[15x2 = 30]